of GDP weights for safe assets—the Norwegian fund is included in the herd.[49] This is a nice fact, but it lacks a coherent story.

GDP weights are a solution in search of a problem. What factor are you trying to capture with GDP weights? If it is capacity to pay, or credit risk, then we are better off using solvency ratios or political risk measures. If it is investment potential, then we should design a proper return-enhancing index based on the macro predictors in Panel A of Table 14.11. It can't be liquidity, as the largest GDP countries tend to have more liquid sovereign bond markets (China is an important exception). Finally, if we want to overweight countries with higher economic growth potential, then we should do GDP growth rather than GDP levels.

6.4. OPTIMAL WEIGHTS OF SAFE ASSETS

The factor investing method starts by listing the factors that matter for an asset owner. Is liquidity the most important? Perhaps we want to emphasize creditworthiness. Or we prefer our fund to hold only reserve countries. Or maybe the

Table 14.11

Predictive Regressions of Sovereign Bond Returns

Panel A				
	1990-2010		*2007-2010*	
	Beta	*t-stat*	*Beta*	*t-stat*
Real GDP growth	0.573	1.24	1.530	1.64
Nominal GDP per capita USD	−0.945	−2.16	0.927	0.98
GDP (PPP) `	−0.603	−1.48	0.098	0.10
GDP (PPP) per capital	−0.451	−1.01	1.181	1.26
GDP (PPP) share of world	−0.604	−1.48	0.098	0.10
Inflation rate	1.864	3.79	0.832	0.88
Unemployment rate	0.041	0.09	−1.960	−2.12
Govt expenditure/GDP	−0.157	−0.34	−2.347	−2.57
Govt net lending/borrowing/GDP	1.364	2.74	2.316	2.54
Govt net debt/GDP	−0.899	−1.92	−1.726	−1.79
Govt gross debt/GDP	−0.692	−1.60	−0.616	−0.65
Current a/c/GDP	0.294	0.64	1.780	1.92

continued

[49] The Norwegian SWF uses GDP weights but requires NBIM "to take account of differences in fiscal strength between countries in the composition of government bond investments."